Lease Agreement

This property rental agreement (hereinafter "AGREEMENT") is entered into on March 18th, 2019 by and between:

The Landlord: Francis and Jenny Chan, Trustees and building owners, hereinafter "LANDLORD"

and Tenant, Matthew Farley, hereinafter "TENANT"

in regards to the premises 115 N. Merritt Mill Road, Unit 305, Chapel Hill 27516, hereinafter "PREMISES."

LANDLORD desires to lease the premises to TENANT upon the terms and conditions as contained herein; and TENANT desires to lease the PREMISES from LANDLORD on the terms and conditions contained herein. The LANDLORD and TENANT do hereby agree to abide by the terms set out in this AGREEMENT.

Term

LANDLORD leases to TENANT and TENANT lease from LANDLORD the above described PREMISES for a term of one (1) year, beginning on March 18th, 2019 and ending at twelve o'clock (12:00) midnight on March 1st, 2020. TENANT agrees to provide LANDLORD with thirty (30) days WRITTEN NOTICE to vacate PREMISES in order to leave in good standing with LANDLORD.

Rent

Monthly rent amount of six-hundred eighty-five dollars ($685.00) is due and payable on the first (1st) day of each month. Payments are to be delivered to the mailbox adjacent to Unit 104 and should be made in full by personal check or money order. There will be a $35 change on all returned checks. Exceptions to the above may be made by LANDLORD for infrequent emergencies, but only if a personal request is made before the first day of the month by TENANT.

Late Charges

In the event that rent is not received by the fifth (5th) day of the month by 5:30pm, a late charge of thirty-five dollars ($35.00) will be added to the rent amount due.

Security Deposit

Upon the due execution of this AGREEMENT, TENANT shall deposit with LANDLORD the sum of six-hundred eighty-five dollars ($685) receipt of which is hereby acknowledged by LANDLORD, as security for all damage caused to PREMISES during term hereof. Such deposit shall be returned to TENANT without interest and less any fees for damages to PREMISES after TENANT vacates PREMISES. UNDER NO CIRCUMSTANCES WILL TENANT BE ALLOWED TO USE SECURITY DEPOSIT AS A RENT PAYMENT.

Default

If TENANT fails to comply with any of the material provisions of this AGREEMENT, other than the covenant to pay rent, or of any present rules and regulations or any that may be hereafter prescribed by LANDLORD, or materially fails to comply with any duties imposed on TENANT by statue, within seven (7) days thereafter, LANDLORD may, at LANDLORD's option, declare the entire balance of rent payable hereunder to be immediately due and payable and may exercise any and all rights and remedies available to LANDLORD at law or in equity or may immediately terminate this AGREEMENT.

Use of PREMISES

The PREMISES shall be used and occupied by TENANT exclusively, as a private single-person dwelling. Subletting or subleasing is not permitted under any circumstances.

Conditions of PREMISES

TENANT stipulates, represents and warrants that TENANT has examined the PREMISES and that they are at the time of this AGREEMENT in good order, repair, and in a safe, clean habitable condition.

Insurance

TENANT acknowledges that LANDLORD's insurance does not cover personal property damage caused by fire, theft, rain, war, acts of God, acts of others, and/or any other causes, nor shall LANDLORD be held liable for such loses. TENANT is hereby advised to obtain their own insurance policy to cover personal losses.

Alterations

TENANT shall not paint, wallpaper, alter or redecorate, change or install locks, install antenna or other equipment, or use screws or large nails on or in the PREMISES.

Hazardous Materials

TENANT shall not keep on PREMISES any item of a dangerous, flammable, ore explosive character that might unreasonably increase the danger of fire or explosion on the PREMISES or that might be considered hazardous or extra hazardous by any responsible insurance company.

Utilities

TENANT shall be responsible for paying electric service to Duke Energy (1-800-777-9898). LANDLORD provides water and trash service. TENANT is encouraged to use water sparingly, and is not allowed to wash any vehicle on the PREMISES. TENANT is encouraged to make use of provided recycling bins. Absolutely no corrugated board is allowed in dumpster.

Liquid-Filled Furnishings

No liquid-filled furniture or receptacle containing more than 10 gallons of liquid is permitted on the PREMISES at any time.

Pets

No animal, fowl, and/or pet of any kind shall be kept on or about the PREMISES, for any amount of time.

Locked Apartment

There will be a charge of twenty-five dollars ($25) to unlock any apartment after normal business hours.

Parking

TENANT is allowed one (1) parking space on the PREMISES for personal vehicle. Guests are invited to park in the free municipal lot located across W. Rosemary Street.

Maintenance and Repair Rules

TENANT will keep and maintain the PREMISES in good and sanitary condition and repair during the term of this AGREEMENT and any renewal thereof. Without limiting the generality of the foregoing, TENANT shall:

1. Not obstruct the driveways, sidewalks, courts, entryways, stairs and/or halls, which shall be used for the purpose of ingress and egress only.
2. Not perform any vehicle maintenance on PREMISES.
3. Not store/abandon any vehicle not in running/driving condition.
4. Keep all windows, mirrors, window coverings, doors, locks, and hardware in good clean order and repair.
5. Not leave windows or doors in an open position during inclement weather.
6. Not hang any laundry, clothing, sheets, etc., from any window, rails, porch or balcony nor air or dry any of the same within any yard area or space.
7. Not cover or block the air condition and heating vents with furniture or drapes.
8. Keep all lavatories, sinks, drains, toilets, and all other water and plumbing apparatus in good order and repair and shall use the same only for the purposes for which they were constructed. TENANT shall not allow any sweepings, rubbish, sand, rags, ashes or other substances to be thrown or deposited therein. Any damage to any such apparatus and the cost of clearing and repairing any plumbing resulting from misuse shall be borne by TENANT.
9. TENANT and family and guests shall at all times maintain order in the PREMISES and at all places on the PREMISES, and shall not make or permit any loud or improper noise, or otherwise disturb other residents.
10. Not engage in any illegal activities on the PREMISES.
11. Keep all radios, televisions, stereos, etc., at a level of sound that does not disturb or interfere with other residents, especially between the hours of 10:00pm and 7:00am.

Destruction of Premises

If the PREMISES become totally or partially destroyed and uninhabitable during the term of this AGREEMENT so that TENANT's use is seriously impaired, LANDLORD or TENANT may terminate this AGREEMENT immediately upon three (3) days WRITTEN NOTICE to the other.

Inspection of Premises

LANDLORD and building manager shall have the right at all reasonable times during the term of this AGREEMENT and any renewal thereof to enter the PREMISES for the purpose of making repairs, additions or alterations as may be deemed appropriate by LANDLORD for the preservation of the PREMISES or building.

Lease Expiration

If TENANT remains in possession of the PREMISES with the consent of the LANDLORD after the natural expiration of this AGREEMENT, a new tenancy from month-to-month shall be created between LANDLORD and TENANT which shall be subject to all of the terms and conditions of this AGREEMENT, except that such tenancy shall be terminated upon thirty (30) days written notice served by either party.

Surrender of Premises

Upon the expiration of the term hereof, TENANT shall surrender the PREMISES in as good a state and condition as they were at the commencement of this AGREEMENT, with the exception of reasonable use and wear and tear thereof and damages by the elements.

Indemnification

LANDLORD shall not be liable for any damage or injury of or to the TENANT, TENANT's family, guests, invitees, agents or employees or to any person entering the PREMISES or the building of which the PREMISES are a part; and TENANT hereby agrees to indemnify, defend, and hold LANDLORD harmless from any and all claims or assertions of every kind and nature.

Eviction for Objectionable Conduct

If TENANT violates any other terms or conditions of this AGREEMENT or fails to perform any other promise, duty or obligation herein agreed to by the TENANT or imposed upon the TENANT by law, then in any of such events and as often as any of them may occur, the LANDLORD, in addition to all other rights and remedies provided by law, may with or without notice to the TENANT, either terminate this AGREEMENT or terminate the TENANT"s right to possession of the PREMISES without terminating the AGREEMENT.

Partial Invalidity

Nothing contained in this AGREEMENT shall be construed as waiving any of the LANDLORD's or TENANT's rights under the law. If any of this AGREEMENT shall be in conflict with the law, that part shall be void to the extent that it is in conflict, but shall not invalidate this AGREEMENT or affect the validity of or ability to enforce any other provisions of this AGREEMENT.

Abandonment

If at any time during the term of this AGREEMENT the TENANT abandons the PREMISES or any part thereof, LANDLORD may, at LANDLORD's option, obtain possession of the PREMISES in the manner provided by law, and without becoming liable to the TENANT for damages or any payment of any kind whatsoever. LANDLORD may, at LANDLORD's discretion, as agent for TENANT, re-let the PREMISES or any part thereof, for the whole or ay part of the unexpired term, and may receive and collect all rent payable by virtue of such a reletting. If LANDLORD's right of reentry is exercised following abandonment of the PREMISES by TENANT, then LANDLORD shall consider any personal property belonging to TENANT and left on the PREMISES to also have been abandoned, in which case LANDLORD may dispose of all personal property in any manner LANDLORD shall deem proper and LANDLORD is hereby relieved of all liability for doing so.

Attorney Fees

Should it become necessary to employ an attorney to enforce any of the conditions or covenants hereof, including the collection of rentals and gain-

ing possession of the PREMISES, TENANT agrees to pay all expenses so incurred, including reasonable attorney's fees.

Report to Credit/Tenant Agencies

TENANT is hereby notified that a nonpayment, late payment, or breach of any of the terms of this AGREEMENT may be submitted/reported to a credit and/or tenant reporting agency, and may create a negative credit record.

Entire Agreement

This AGREEMENT constitutes the entire AGREEMENT between LANDLORD and TENANT. No oral agreements have been entered into, and all modifications or notices shall be in writing to be valid.

Signatures

LANDLORD

Signature: _____

Print: _____

Date: _____

TENANT

Signature: _____

Print: _____

Date: _____